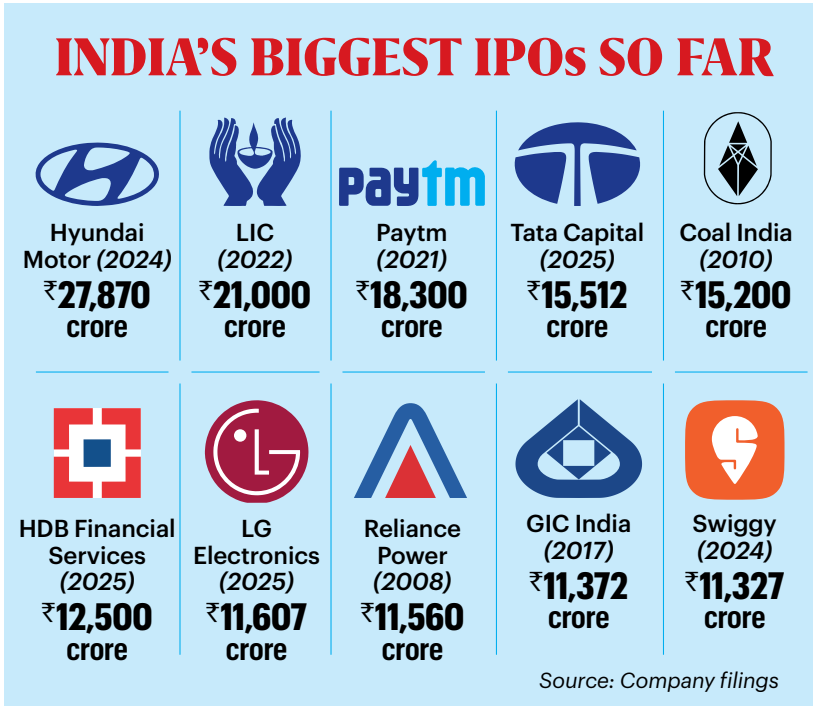
INDIA'S BIGGEST IPOs SO FAR



Source: Company filings

either become top-of-the-market or bottom-of-the-market," says Nilesh Shah, managing director of Kotak Mahindra Asset Management Company. He points to the June 2003 IPO of Maruti Udyog Ltd (now Maruti Suzuki), which drew investors into both the primary and secondary markets in large numbers. Equally, there have been oversized offerings that have "dragged down the market", he says, in an apparent reference to the over-priced Paytm IPO in 2021, whose disappointing post-listing performance dampened enthusiasm for several issues that followed. "It is the responsibility of the large IPOs that they price it properly," he adds.

Right now, Shah believes the timing is favourable. "There is a lot of selling by foreign portfolio investors (FPIs). If properly priced, these IPOs can arrest the outflow of FPIs and can undoubtedly lead to more companies lining up for IPOs in the near future," he says. According to market sources, Jio Platforms is likely to price its shares at a discount to Bharti Airtel, whose stock traded at Rs 1,852 on the BSE on June 30. In the NSE's case, one market source said, the valuation "has to be fair to the incoming, existing and outgoing shareholders".

Jio's draft red herring prospectus (DRHP), a mandatory preliminary registration document filed with market regulator Sebi, says the net proceeds from the issue will be used to prepay "certain outstanding borrowings" and for "general corporate purposes". By FY26-end, the company and its subsidiaries had outstanding borrowings of about Rs 71,529 crore.

NILESH SHAH, MD OF KOTAK MAHINDRA AMC, BELIEVES THE TIMING IS FAVOURABLE FOR THE TWO IPOs AND THEY COULD ARREST THE SELLING BY FOREIGN PORTFOLIO INVESTORS

The filing notes that telecom remains a highly capital-intensive business requiring sustained investments in network expansion, technology upgrades and capacity enhancement. Future growth plans, it says, will require continued access to multiple funding sources. The NSE's offering, being an OFS, will not generate any fresh capital for the exchange. The entire proceeds will go to the institutional and corporate shareholders selling their stakes.

THE SCALE FACTOR

The financial and operating metrics underline why both companies command such lofty projected valuations. As of March 31, Jio served 524.4 million customers after adding a net 36.2 million subscribers during FY26, giving it a market share of 39.2 per cent. Bharti Airtel had 469 million subscribers and a 37.8 per cent market share, while Vodafone Idea remained a distant third with 205 million subscribers and a 15.6 per cent share. The company reported revenue from operations of Rs 1.47 lakh crore and a profit after tax of Rs 30,049 crore.

The NSE's scale is equally formidable. According to an IDBI Capital research note, the exchange had 253.66 million registered investor accounts, 129.09 million unique registered investors and 1,325 trading members as of March 31. The 2,978 listed companies on its platform had a combined market capitalisation of Rs 411.25 lakh crore. According to the World Federation of Exchanges, the NSE has been the world's largest derivatives exchange by contracts traded for seven consecutive years. It accounted for 11.38 per cent of global cash equity trades and 51.18 per cent of equity derivatives contracts traded. In FY26, the exchange reported revenue from operations of Rs 16,601.3 crore and a profit after tax of Rs 10,302 crore.

Whether these IPOs merely rewrite the record books or usher in a new cycle for India's capital markets will be the real test. ■